

Eutelsat — buying below a floor that walks toward you

SECURITY ETL · Euronext Paris	LIVE AT STAGING €2.03 (touch €1.97)	TANGIBLE FLOOR ~€2.15 /sh (rolled)	SIZE 0.5–1% · special sit
VERDICT STARTER ladder	COURT red 8 / blue 7 → survive-downgrade	FY PRINT 08-07 4/4 tripwires clean	STAGED #103 2,500@2.05 · #104 2,700@1.85

Say the awkward part first. This is a shrinking company burning toward a heavy capex cycle, and its safety net is made of book value that *erodes while you hold it* — the tangible floor lost sixteen cents in the past year and will keep losing while losses run. We are not buying a compounder. We are buying an asset floor with sovereign shareholders standing under it, at a price a few percent below that floor, sized so that being wrong costs half a percent of the book.

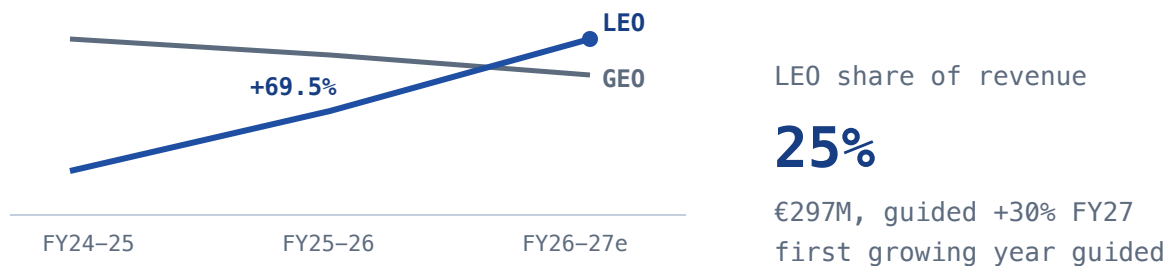
PANE 1 · WHAT WE BELIEVE

A real floor, a real crossover, and a state that can't let it fail

Three legs. **First, the floor is genuine.** The bear case's headline kill — "tangible book is negative" — was an arithmetic error our court caught: it subtracted *gross* goodwill and intangibles (€3.24B) when the balance sheet carries them *net* of €2.15B in write-downs already taken. The honest bridge: €3.6B of equity less ~€1.05B net intangibles is ~€2.5B of tangible book, backed by €4.1B of satellites in orbit and €1.6B of cash — about **€2.15 per share** today.

Second, the business is crossing over. LEO (OneWeb) revenue grew +69.5% this year to €297M — a quarter of all revenue — and is guided +30% next year, now fully offsetting the GEO video decline: the company just guided its first *growing* year. **Third,**

the shareholder register is the tail-protection: the French state (29.7%), UK government (10.9%) and allied sovereign holders around 45% — this is Europe's chosen space-connectivity vehicle, lead of the IRIS² constellation, with the selection outcome imminent. Wipeout scenarios require Paris and London to abandon their own infrastructure programme.



The crossover: LEO growth now outruns GEO decay. The equity story is whether the crossing happens before the floor erodes to the price.

PANE 2 · WHAT THE MARKET BELIEVES

A dilution machine feeding a cash furnace

The bear case is about flows, not assets: ~€4B of forward capex (OneWeb generation-2 plus IRIS²) against a business that lost €457M this year; a share count that went 475M → 1.18B in one recapitalisation at €1.35; a GEO video business in structural decline; and a fresh guide that says next year is merely *slightly* growing at a stable margin. On this view the tangible floor is irrelevant — you never get to liquidation; you get served successive dilutions instead, and the sovereign backstop protects the *enterprise*, not your share of it. The 2025 raise proved exactly that mechanism. This belief is coherent, recently validated, and is why the stock trades below tangible book.

PANE 3 · WHY WE MIGHT HAVE EDGE

Almost nobody re-did the arithmetic — including the bear bench we hired

Our own red bench — instructed to kill this — got tangible book **negative** by double-counting write-downs already taken. If a dedicated adversarial process run on primary filings makes that error, the market's shorthand ("melting satellite operator, book value fiction") is likely resting on the same one. The floor bridge takes four numbers from one balance sheet. That, plus a register nobody prices (45% sovereign hands that cannot politically permit failure of their own constellation lead), is the mispricing case.

Two unpriced near-term items ride along: \$504M of US C-band clearing incentive payments now expected (a third of the market cap in cash, rarely in models), and the IRIS² "First Rendez-Vous" outcome, which the company states will confirm its LEO-segment lead — binary-ish, imminent, and free at this price if the floor holds.

PANE 4 · WHY IT MIGHT BE PRICED IN

The floor moves — and fair is not cheap

Two honest concessions from our own court. The blue bench corrected the screen's "4× EV/EBITDA" to a real ~6.5× — fair for a declining-then-recovering satellite operator, not a bargain. And the floor is not a fixed line: tangible book was €2.31 when the court sat in July and is ~€2.15 now — the losses eat it at roughly €0.15–0.20 a year. Buying at €2.03 is buying a ~6% discount to a floor walking toward the price at that pace. The trade therefore has a clock: the crossover (LEO growth, C-band cash, IRIS² money) has to arrive before the floor does. That is why this is a 0.5–1% special situation with kill switches, not a conviction position.

THE FLOOR, DECOMPOSED · FY ACCOUNTS 30 JUNE 2026

What the assets would actually fetch

"Tangible book" is one number hiding a stack. From the audited balance sheet: equity €3,686.6M less goodwill €757.0M and other intangibles €326.8M = €2,602.8M tangible, backed by cash €1,762.9M and satellites-plus-construction of €4,176.7M at depreciated cost, against ~€3.2B gross debt (net €1,465M). The layers, hardest first:

FLOOR LAYER	€ / SHARE	HARDNESS
Carrying tangible book	2.21	Accounting floor — real only at fleet-at-cost. Each 10% fleet haircut $\approx$ $-\text{€}0.35/\text{sh.}$
Fleet at 75% of carrying	~ 1.32	A moderate-stress mark — and it lands on the sovereign line below.
Sovereign-revealed floor	1.35	The hardest datum: France, the UK and allied holders paid $\text{€}1.35$ with $\sim \text{€}1.5\text{B}$ of real money in the 2025 recap. The buyer of last resort has already shown its price.
Fleet at 50% (Intelsat-style distress)	~ 0.44	GEO fleets in bankruptcy have fetched fractions of cost; cash-generating run-off argues better, hardware alone argues worse.
Cash minus debt	negative	There is no cash floor — the thesis requires satellite value. Gross debt exceeds cash by $\text{€}1.5\text{B}$.

Two offsetting distortions: the LEO first-generation hardware (600+ satellites, ~ 7 -year lives, launched 2019–23) is depreciating toward zero — that is what the $\text{€}4\text{B}$ replacement capex buys — so fleet-at-cost flatters. But zeroing all intangibles over-punishes: OneWeb’s ITU spectrum-priority rights — the reason sovereigns recapitalised at all — sit inside the excluded intangibles and are genuinely marketable. The $\text{€}1.35$ revealed-preference line is where those two errors demonstrably netted out for real buyers. This year’s $\text{€}71.6\text{M}$ of losses on three named GEO satellites (AT1/AT2/AM6) supports mark-skepticism at the margin.

Read on the ladder: the $\text{€}2.05$ starter buys below the accounting floor; the $\text{€}1.85$ rung sits a third of the way down to the sovereign line; and a fill much below $\text{€}1.35$ would mean the state’s own price failed — which is a different thesis and the kill switches’ job.

THE RECORD · COURT + PRINT

What we checked ourselves

CLAIM TESTED

WHAT THE PRIMARY SOURCE SHOWED

RULING

"Tangible book is negative" (red's kill-shot)	Arithmetic error: red subtracted gross intangibles €3,242M; the balance sheet carries €1,093M net of €2,149M write-downs already booked. Bridge: equity – net intangibles = ~€2.31/sh at the July court, backed by satellites + cash, not goodwill.	REFUTED
"4× EV/EBITDA = cheap" (our own screen)	Stale: real ~6.5× on ~€620M EBITDA. Fair-value special situation, not a bargain. Correction recorded against our side.	OUR ERROR
Sovereign backstop protects shareholders	It protects the <i>enterprise</i> — the 2025 recap diluted 475M→1.18B shares at €1.35. The register prevents wipeout, not dilution. Sizing input, not comfort.	PARTLY
FY print · impairment tripwire	€111M (vs €720M prior year) ≈ €0.09/sh of floor — small.	CLEAN
FY print · fresh dilution below spot	None announced. The €1,469M "capital increase" in the release is the known 2025 recap flowing through this fiscal year; the rights lines in the broker's database are stale artifacts of it.	CLEAN
FY print · leverage > 3.0×	2.32× net debt / EBITDA, down from 3.88×; €2.3B liquidity + €690M undrawn ECA facility.	CLEAN
FY print · EBITDA < €280M/half	FY adjusted EBITDA €632M (~€316M/half), beating the ~€620M the court modelled. Margin 51.2%, –3.2pts — the soft spot, guided stable next year.	CLEAN
The –5% print-day fall = thesis damage?	Tepidness, not breakage: guide of "slight growth, stable margin" disappointed against LEO +69.5%, backlog 2.7× revenue, C-band \$504M incoming. No tripwire fired.	GRADED CLEAN
Floor roll-forward	Equity ~€3.6B after the year's loss, net intangibles ~€1.05B, 1.18B shares → ~€2.15/sh, down from €2.31. The cash-sink erosion the court named, quantified.	FLOOR LOWERED

EXECUTION

The plan

€2.05 STAGED #103 · GTC	Starter — 2,500 shares (~€5.1k ≈ 0.55%). Authorized by the standing court (starter ≤€2.10 with no tripwire fired); struck at-tape after the band touch at €1.97. Paris was closed at staging — works the next open.
€1.85 STAGED #104 · GTC	Add — 2,700 shares, the court's second rung, completing ~1% only if the tape offers the discount. Next print (~Nov revenues) is wired to the order-hygiene sweep, which emails before any print this rung could ride into.
PULL SAME DAY	IRIS² lost, or any fresh dilution below spot → cancel both rungs immediately. Either converts the floor thesis into the dilution-machine thesis, and the record says we don't own that.

Standing kill conditions

announcement-driven	Fresh dilution below spot — the single most probable failure mode; the 2025 recap is the precedent.
announcement-driven	IRIS² leadership lost at the First Rendez-Vous — removes the sovereign-strategy leg entirely.
half-yearly accounts	Satellite impairments at scale — every €100M is ~€0.085/sh off the floor; the floor is the thesis.
half-yearly accounts	Leverage > 3.0× or adjusted EBITDA < €280M in any half — the cash-furnace scenario re-opening.

HONESTY SECTION

What remains unverified

Execution permission: the account's Euronext Paris trading permission is unverified — if instruction #103 rejects at the broker, that is the finding, and the position waits until access is arranged. **The floor estimate carries a band:** the €2.15 roll-forward apportions the year's impairments and losses between halves from the annual accounts, not a published H2 balance sheet — treat it as ±€0.05 until the consolidated statements are parsed. **IRIS² economics** (Eutelsat's share of the build and any

associated equity need) remain undisclosed — the same event that confirms the strategic seat could also announce the next capital call, which is why the dilution kill-switch stays armed *through* the good news.

Signal05 · adversarial court record · red 8/10 (tangible-book kill REFUTED on arithmetic) / blue 7/10 → SURVIVE-DOWNGRADE 2026-07-15 · band touch €1.97 graded 2026-08-07, FY print 4/4 tripwires clean

Artifacts: satellite-value court 2026-07-15 · FY 2025-26 release (eutelsat.com/investors, 07-08-26) · pack ETL.PA|2026-11-12 · staged instructions #103 / #104

Sources: Eutelsat FY 2025-26 press release & consolidated accounts · IBKR tape (SBF) · desk band_watch